

writes Graham in the 1940 edition, “with a history of two catastrophic price collapses in the preceding 20 years and a major war in progress is not one to justify airy confidence in the future.” (Chap. 6)

Wall Street, not such a big place even during the 1920s boom, got considerably smaller in the subsequent bust. Ben Graham, in conjunction with his partner Jerry Newman, made a very small cog of this low-horsepower machine. The two conducted a specialty investment business at 52 Wall Street. Their strong suits were arbitrage, reorganizations, bankruptcies, and other complex situations. A schematic drawing of the financial district published by *Fortune* in 1937 made no reference to the Graham-Newman offices. Then again, the partnerships and corporate headquarters that did rate a spot on the Wall Street map were themselves—by the standards of twenty-first-century finance—remarkably compact. One floor at 40 Wall Street was enough to contain the entire office of Merrill Lynch & Co. And a single floor at 2 Wall Street was all the space required to house Morgan Stanley, the hands-down leader in 1936 corporate securities underwriting, with originations of all of \$195 million. Compensation was in keeping with the slow pace of business, especially at the bottom of the corporate ladder.⁸ After a 20% rise in the new federal minimum wage, effective October 1939, brokerage employees were entitled to earn at least 30 cents an hour.⁹

In March 1940, the *Exchange* documented the collapse of public participation in the stock market in all the detail its readers could want. In the first three decades of the twentieth century, the annual volume of trading had almost invariably exceeded the quantity of listed shares outstanding, sometimes by a wide margin. And in only one year between 1900 and 1930 had annual volume amounted to less than 50% of listed shares—the exception being 1914, the year in which

⁸ *Fortune*, “Wall Street, Itself,” June 1937.

⁹ *New York Times*, October 3, 1939, p. 38.